

VISN pitch deck

PITCH — VISN — VERDICT

PROPOSED — PENDING ADJUDICATION — buy a 0.5%-of-book starter in Vistance Networks (VISN) at ~\$6.09, no adds before the Q3 report, conditional on the deferred-tax question below.

What we believe

Vistance is what's left after a company sold most of itself. In the first half of 2026 it sold its Connectivity & Cable Solutions business and its Ruckus networking business, used the proceeds to repay **\$7.37 billion** of debt in full, and paid shareholders **\$15.00 per share** in special distributions. What remains is one operating business — Aurora, which makes broadband access equipment — plus a pile of cash.

At \$6.09 a share and about 230.0 million shares, the whole company is worth roughly **\$1.40 billion**. Management says it expects to end 2026 with **\$700–750 million of cash and no debt**. If that holds, more than half the share price is cash, and you are paying roughly **\$650–680 million** for a business that management guides to **\$200–225 million** of segment profit this year — call it **\$161–186 million** after the corporate costs that sit above the segment. That is **3.5x to 4.2x** profit for a debt-free business.

Three things have to be true for that to be a real bargain rather than an accounting picture:

1. The first-half cash burn of **\$299.4 million** was a one-time wind-down of the sold businesses, not the ongoing rate. We believe this. Stripping out working capital, the company actually *generated* **\$209.7 million** of operating cash. The deficit was almost entirely two lines — prepaid assets (–\$184.6M) and accounts payable (–\$183.0M) — that are how a divestiture settles up. The burn also decelerated sharply: **\$226.7M in Q1, \$72.7M in Q2**. And the first half carried interest on \$7.4 billion of debt that no longer exists; Q2 interest expense was **\$0.8 million**.
2. Aurora's profit guidance is reachable at the bottom end. At the **16.9% margin Aurora actually printed in Q1**, the low end of the guide (\$52.1M/quarter) needs **\$308 million of quarterly revenue — less than the \$319.2 million Aurora did in Q2**. The top end (20.2% margin) we do not believe.
3. The **\$1.236 billion of deferred income tax** that ran through the disposal gain is genuinely deferred — absorbed by loss carryforwards, not a cash bill arriving later. **We do not know this.** It is the single largest open question in the name and it is bigger than the cash cushion it threatens.

So: a cheap, debt-free, cash-heavy stub where the cheapness is real *if* the tax is not a bill.

What the market believes

Honestly, we can't tell you with any confidence, and that's part of the setup.

The stock is followed by **four analysts** with an average price target of **\$14.67** — a number that is mechanically wrong, because it hasn't been adjusted for the \$15.00 per share already paid out. We could not find a single post-Q2 published estimate of the company's profit for 2026 or 2027. There is no consensus number to be right or wrong about.

What the tape suggests: the stock sits at \$6.09, within about 1.5% of its 52-week low of \$6.0003 — though that statistic is also contaminated, because the price series hasn't been adjusted for the distributions. The apparent “53.9% drawdown” is not a drawdown; it is \$15.00 of cash leaving the share price. **Both of our benches independently threw out those tape statistics as artifacts, and so does this deck.**

The most defensible read of market belief is: the market has stopped modelling this company. It has been through two divestitures, a debt repayment, two special distributions, and a change in what the business even is, all in eight months. Post-spin and post-liquidation stubs are routinely orphaned — the old shareholders sold, the new shareholder base hasn't formed, and the sell-side hasn't re-based its models. That is not proof of mispricing, but it is the condition under which mispricing survives.

Why we might have edge

We opened the cash flow statement. Our own first pass — and our red-team bench, which was arguing to reject — took the headline first-half operating cash burn of **-\$299.4 million** and used it as a forward run rate. Three separate “fatal” objections were built on it. Opening the actual statement ([Q2 10-Q, R7](#)) shows the burn is 100% working capital, roughly 72% of it divestiture settlement, decelerating threefold quarter over quarter, and carried on an interest load that has since gone to essentially zero. If a red-team analyst working the name deliberately made that mistake, the market almost certainly has too. A screening tool reading “operating cash flow: -\$299 million” will not distinguish a conglomerate settling its divestiture half from a debt-free stub's run rate.

The coverage vacuum is real. Four analysts, no post-quarter estimate we could locate, and a price target that is a stale-data artifact. Thin coverage doesn't create value, but it lets value persist.

The disclosure quality is better than it looks. Management volunteered on the earnings call that **orders fell 55% year over year** and that backlog is down 15% to \$470 million — numbers that appear in *neither* the Q1 nor the Q2 press release. Our red bench read that as selective concealment. On checking both releases, neither has ever disclosed orders or backlog; the policy is consistent, and management chose to say the worst number out loud in a public forum. That is a mark in favor of the people running the company, and it is why we are willing to give some weight to their explanation that the order drop was “primarily timing” — supported by **~\$200 million booked in July alone**, about 63% of a full quarter's revenue in one month.

Two lines the segment framing hides. Management guides Aurora's profit, not the company's. There is about **\$9.7 million a quarter** of corporate cost above the segment — roughly \$39 million a year. Anyone quoting “3.2x” off the segment number is a half-turn cheap. Of that drag, management

says ~\$20 million is stranded cost from the divestitures, mostly gone by 2027 and fully by 2028, so the multiple improves for a dated, mechanical reason rather than an operational one.

Why it might be priced in

Because the market may simply be right about the tax. The \$1.236 billion deferred tax add-back is public. Anyone who reads the same statement we read can see it. If the market is pricing VISN at \$6.09 *because* it expects a large cash tax payment on the disposal gain, then the “52% of the price is cash” claim is the thing that is wrong, not the price.

Because the cash cushion isn’t a fact yet. The \$700–750 million is a *forecast*. Actual balance-sheet cash at June 30 was **\$113.6 million** (\$151.6M including \$38.0M held for sale) — about \$0.49 a share, 8% of the price. The bridge to \$750 million runs through the Ruckus sale, which closed July 1 and **appears in no filed financial statement anywhere**. We are taking roughly \$1.70–1.75 billion of net proceeds on faith and internal consistency with management’s own guide. That is not a verified number; it is a number that will first exist in the Q3 10-Q.

Because the two “margins of safety” are one variable. Our red bench’s best structural point, and we sustain it: the cash cushion and the cheap multiple are not independent. Both require second-half free cash flow around zero or better. If Aurora’s profit disappoints, the cash guide misses too, and both legs move together. We think that shared variable is far less binding than red priced it — because the burn is an artifact — but it is one bet presented as two, and we should own that.

Because orders really did fall 55%. “Timing” is management’s word, not a fact. One month of bookings is not a trend.

What could go wrong

Failure narrative 1 — the tax is a bill. The \$1.236 billion deferred tax on the disposal gain resolves as cash rather than being absorbed by carryforwards, or a large piece of it is already sitting inside that — \$183.0 million payables movement waiting to be paid. The cash cushion shrinks from \$750 million toward something much smaller, and the “half the price is cash” claim inverts. At that point we own an operating stub with \$170 million of profit at whatever multiple the market wants to assign a shrinking-order-book hardware business — which could be \$4 rather than \$6. *Tripwire exists:* any 8-K or 10-Q disclosing a cash tax payment on the disposal gain above \$200 million, or a current-tax-payable spike in the Q3 balance sheet.

Failure narrative 2 — “timing” was demand. July’s ~\$200 million was pull-forward or a single lumpy order, backlog keeps eroding from \$470 million, and Q3 revenue drops below the ~\$308 million the low end of the guide needs. Compounding it: the company built **\$116 million of inventory in the first half** into an order book down 55%. We currently read that as a plausible pre-buy of memory ahead of the cost spike — which would *support* the margin recovery — but the equally available reading is a build financed against orders that never arrive, and a write-down. Management did not disambiguate, and we could not. *Tripwire exists:* Q3 orders below Q2’s level, or Q3 Aurora margin below 14.2%.

Failure narrative 3 — the thing we cannot watch. This is the one with **no monitorable tripwire**. Two sub-cases, one class:

- The Q2 exhibit names **no customers**. We do not know who Aurora's large accounts are, so we cannot monitor them. Broadband access equipment is sold to a handful of cable operators and telcos; a single one pausing capex would take revenue with it, and we would learn about it at the print, not before.
- The purchase agreements for the two divestitures contain post-closing purchase-price adjustments, escrows, and indemnities that appear in no filed statement we have read. A working-capital true-up or an indemnity claim against Vistance is a negotiated cash outflow that may never generate a filing until it lands in a quarterly statement.

Unknown-unknown class: off-filing counterparty exposure — obligations and concentrations that exist contractually but have no public surface to watch. We name it here rather than pretend a sensor covers it. The partial mitigations available are a 10-K customer concentration table (next annual filing) and reading the actual purchase agreements as exhibits — neither of which we have done, and the first of which does not exist yet. Related and also unpriced: the company discloses a **China R&D facility**, which is a US export-control designation vector nobody in this court quantified.

The reflexive and structural leg.

Our size: immaterial in the ordinary sense. VISN trades roughly **31.2 million shares a day, about \$190 million of notional**. A 0.5%-of-book starter is a rounding error against that; we will not move this stock and we can exit in minutes. Liquidity is not the risk here.

The flow we'd be trading alongside: the company has authorized **\$250 million of buybacks** (\$100M on April 30, \$150M on August 26) against a ~\$1.40 billion market value — potentially 18% of the shares. That is not our flow, it is theirs, and it cuts both ways. If it executes, it is a large price-insensitive bid and part of why this works. If it doesn't, we have bought a support that never arrives. The 8-K itself says the program “does not obligate the Company to acquire any particular amount of its common stock,” and as of the August 6 report **zero had been repurchased**. Our red bench argued the buyback and the cash guide were arithmetically incompatible; that argument fails on dates — the guide was issued August 6 when only \$100M was authorized, and management's own multi-year path includes a **\$160 million tax refund in the second half of 2027** carrying cash toward \$850–900 million. But “fundable across two years” is a much weaker statement than “18% of the company is being bought back now,” and the deck should not lean on the stronger one.

Doctrine interaction, stated plainly: **this position exists because no objection survived, not because a positive case was proven**. Our standing rule is that staying flat requires a named, surviving kill; the red bench's kills did not survive, so the default fires and produces a starter. That default is a good rule on average and a manufacturing process for weak positions on any single name. The honest framing is that we are paying a small amount of money to convert an unresolved argument into a position with a scheduled resolution date, not that we have conviction. Second interaction: the one genuinely fatal-class item in this court — the deferred tax — was found by *neither* bench during the

adversarial exchange and only surfaced on a line-by-line re-read of the cash flow statement. That means the court’s search was not exhaustive, and there is no reason to assume this was the last such item.

If this position loses money, the most likely reason will be that the cash we underwrote was never ours to count — the guided \$700–750 million gets consumed by a cash tax bill on the disposal gain and post-closing true-ups nobody outside the company can see, and we discover we bought an operating stub at eight times profit instead of a cash box at three and a half.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Company is debt-free	Q2 10-Q cash flow statement (R7)	Long-term debt repaid \$7,370.8M in H1; Q2 interest expense \$0.8M	Yes — primary-verified. Both benches had previously asserted this from secondary reporting only
“\$299.4M first-half burn is the run rate”	Decomposed R7 rather than reading the total	Pre-working-capital operating cash +\$209.7M ; working capital –\$509.1M, of which –\$184.6M prepaid and –\$183.0M payables (~72% divestiture wind-down); Q1 \$226.7M vs Q2 \$72.7M	Refuted. Our own red bench made this error — it cited R7 but used only the summary line, then rated three findings “fatal” on it while separately docking itself for exactly this possibility
Aurora profit guide of \$200–225M	Recomputed from the Q1 and Q2 press-release exhibits	H1 = \$50.3M + \$45.5M = \$95.8M. Low end needs \$52.1M/qtr = \$308M revenue at Q1’s 16.9% margin — below Q2’s actual \$319.2M . Top end needs 20.2% margin	Partly. Low end reachable, top end not. Red erred by pinning margin at Q2’s 14.2% and by charging the ~\$40M memory cost twice — the guide was already cut \$25M for it
“EV ≈ \$675M, ~3.2x profit”	Segment exhibit vs consolidated	Guide is segment . Q2 consolidated profit \$35.8M vs Aurora \$45.5M = \$9.7M/qtr corporate drag . Consolidated FY26 ≈ \$161–186M	Corrected to 3.5–4.2x. Red’s best finding, and we sustain it — with the offset that ~\$20M of the drag is stranded cost gone by 2028
“Net cash ~\$725M = 52% of price”	10-Q balance sheet + transcript	Actual 6/30 cash \$113.6M (\$151.6M incl. held-for-sale) = \$0.49/sh. The \$700–750M is a management forecast	Confirmed as forecast, not fact. The label stands even though the burn that made it look fatal was an artifact

Claim	How checked	Found	Confirmed?
Ruckus net proceeds ~\$1.70–1.75B	Searched all filed statements	R7's \$10,541.7M of divestiture proceeds is CCS only . Ruckus closed 7/1 and appears in no filed statement	No — unverifiable until Q3 10-Q. The single largest unfiled number in the thesis
"Buyback and cash guide can't both be true"	8-K dates vs guide date	Guide issued Aug 6 with \$100M authorized and zero executed; the incremental \$150M is the Aug 26 8-K. Management's path adds a \$160M refund in H2'27	Overtured. Red compared a guide to an authorization that did not exist when the guide was made, and treated boilerplate ("does not obligate the Company") as evidence
Selective disclosure / concealment of orders	Read both Q1 and Q2 press-release exhibits	Neither discloses orders or backlog. Consistent policy; management volunteered the ~55% on the call	Overtured — sign inverted. This is evidence <i>against</i> concealment. Red's masking flag should read not-fired
"Shares +3.0% per half = ~6%/yr dilution"	R7	H1 stock compensation only \$16.1M , against \$43.2M of tax withholding on equity awards — the signature of change-of-control accelerated vesting, a one-off	Level confirmed (223.3M → 230.0M), extrapolation refuted. Our valuation already uses the 230.0M count
Inventory +\$116M into a ~55% order book = write-down	R7	Direction asserted, not shown. Equally available: a pre-buy of memory at pre-spike cost, which would <i>support</i> the margin recovery. Management did not disambiguate	No — genuinely ambiguous. Red's one-sided read is not confirmed
Insider selling into the stub (Form 144 on 8/28)	Cross-read against R7	\$43.2M of equity-award tax withholding vs \$16.1M of expense ⇒ accelerated vesting; affiliate resales after acceleration are expected mechanics	Downgraded to likely-mechanical, still unverified
The \$1.236B deferred tax on the disposal gain	Line-by-line re-read of R7	A \$7,009.3M book gain ran through a \$1,236.0M deferred income tax add-back. Whether it resolves as loss-absorption or cash determines the entire cushion	Unquantified. Neither bench found this during the adversarial exchange — the court's most important finding came from a re-read, not from the argument
Evidence pack tape statistics	Both benches, independently	"~53.9% drawdown" and "1.5% off the low" are artifacts of \$15.00/sh of distributions in an unadjusted series	Refuted — the pack itself was wrong. No part of this deck rests on them
Live price verification	Attempted broker price snapshot	Permission denied, non-interactive session — both benches. Cross-	No. Our rule is a live quote before any valuation; we do not

Claim	How checked	Found	Confirmed?
		checked pack \$6.09 against a third-party close of \$6.06 (8/28)	have one. Get a live bar before placing the order
Quarterly seasonality on the order-decline claim	Attempted	Could not run — no shell access this session	No. A weaker sequential comparison was substituted
Street estimate to compare against	Third-party aggregator	4 analysts; average target \$14.67 is itself a distribution artifact; no post-Q2 profit estimate located	No — coverage gap. We cannot claim a divergence from consensus in either direction
Specialist screens (satellite imagery, thermal, export control, defense/health-sector detectors)	Full dispatch set, both benches	Plant location screens uncheckable — filings give “Mexico” with no street address, which geocodes to the national centroid; a false utilization read is worse than none. Most other detectors were mis-dispatched on industry-code matches, not business model	Correctly not run. One live thread: the disclosed China R&D facility is an export-control vector nobody has priced

PROPOSED ENTRY BANDS

All levels below come from the benches’ own arithmetic. **The court did not reach a no-entry verdict** — the red bench’s kills did not survive the audit — so these are entry bands, not reopen bands.

Get a live quote first. The \$6.09 is from the evidence pack; both benches were denied a live price rail. Do not place a limit off a stale mark.

Starter — now - Buy 0.5% of book, limit \$6.15, working the order rather than crossing. Reference price \$6.09. About 31.2M shares / \$190M trade daily, so a starter of this size is a fraction of one percent of a day’s volume — fill risk is nil, and there is no reason to pay up. - Basis: no objection survived the court at fatal level; the position is sized to be wrong.

Add — only after the Q3 report, and only on a specific fact - To 1.0% of book if the Q3 10-Q shows **September 30 cash ≥ \$700M, with the Ruckus net-proceeds line actually disclosed**, and **no spike in current taxes payable**. That single filing severs the cash-cushion question from the profit-ramp question and clears the deferred-tax gate. Add on the fact, not on the price. - **No adds before October 29 under any circumstances**, including on weakness. If the stock falls to \$5.45 (–10%) without a named mechanism, that is information, not a discount — re-court it rather than averaging down.

Exits — any one of these, exit in full - Q3 Aurora profit below \$50M, or Aurora margin **below 14.2%**. The whole low-end-of-guide case rests on margin recovering toward Q1’s 16.9%; if Q2’s 14.2% was not the trough, the premise is dead. - Q3 orders **below Q2’s level** despite July’s ~\$200M. That falsifies management’s “timing” explanation directly. - Any 8-K or 10-Q disclosing a **cash tax payment on the disposal gain above \$200M**. The cushion is then not what it appears. - The year-end cash guide of \$700–750M being **cut or withdrawn**.

Trim - Above ~\$7.85, the consolidated business is at roughly 6x profit on the cushion holding — the discount we are being paid for has largely closed. Trim half; reassess the rest on 2027 numbers when stranded costs roll off.

Sizing rationale. 0.5% is a deliberate floor, not a conviction expression. The largest number in the analysis — the \$1.236 billion deferred tax — is unresolved, and the second largest — Ruckus net proceeds — exists in no filed document. Confidence that this net position is correct is roughly 6 out of 10.

Catalyst dates - 2026-10-29 — Q3 2026 earnings, UNCONFIRMED. This date is derived from a data vendor; no company press release names it. Treat it as approximate until the company announces. It is ~41 trading days out, so there is no near-print urgency. - **Q3 10-Q filing (days after the print, date unknown).** This is the actually decisive document — it is where September 30 cash, the Ruckus proceeds line, the current-tax-payable line, and any repurchases executed all appear for the first time. The press release will not settle the deferred-tax question; the 10-Q might. - **Second half of 2027 — a \$160 million tax refund,** per management. Not actionable now; relevant to whether the buyback is fundable.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.75 (deck-provisional: market pricing the \$1,236.0M deferred tax as a cash bill rather than loss absorption: exit, thesis pre)
- filing watch: 10-Q until 2027-02-27 (deck-provisional: Q3 10-Q is decisive: 9/30 cash vs \$700M, Ruckus net proceeds line (first ever filed), current taxes pa)
- dated pack VISN|2026-10-29: VISN: Q3 2026 earnings — vendor-derived date, NOT named in any company release; resolution date for orders, Aurora margin, and the cash guid
- dated pack VISN|2026-11-05: VISN: approximate Q3 10-Q filing (~1 week after print) — first filed appearance of Ruckus net proceeds, 9/30 cash, and current taxes payable
- dated pack VISN|2027-09-30: VISN: management-guided \$160M tax refund in H2 2027 carrying cash toward \$850-900M; makes the \$250M authorization fundable across two years

What remains unverified

1. **The character of the \$1.236 billion deferred income tax.** Loss absorption or a future cash bill? This is larger than the entire market value of the equity and it is the gate on the position. Unresolved by both benches.
2. **Ruckus net proceeds.** Roughly \$1.70–1.75 billion on \$1.846 billion gross is assumed. It is internally consistent with management's guide and it appears in no filed financial statement. First verifiable in the Q3 10-Q.
3. **The order book.** Is ~55% timing or demand? July's ~\$200 million is one month. Management's attribution is unfalsified and unproven.

4. **The inventory build.** Cheap pre-buy of memory (supports margin recovery) or unsold stock (write-down)? Genuinely ambiguous on the filings.
5. **What the market actually expects.** No post-Q2 profit estimate exists that we could find. We cannot demonstrate divergence from consensus in either direction.
6. **A live price.** Broker price rail was permission-denied to both benches. The \$6.09 is a stale pack mark cross-checked against a third-party close.
7. **Seasonality.** The mandatory seasonal check on the order-decline claim could not be run this session; a weaker sequential comparison stood in for it.
8. **Customer concentration and export-control exposure.** No customer names disclosed; a China R&D facility disclosed and unpriced.
9. **How much of the first-half burn was non-recurring transaction costs.** The filings do not separately quantify it. Our decomposition shows the burn is working capital, but the transaction-cost split inside it is not disclosed.
10. **Post-closing obligations in the divestiture agreements.** Escrows, indemnities, price adjustments — not read, not in any statement.
11. **The Aurora plant location.** Filings say “Mexico” with no address, which is why the imagery-based capacity screens were correctly not run rather than run badly.

Primary sources: [8-K, August 26, 2026 — \\$150M additional repurchase authorization](#) · [Q2 2026 10-Q](#) · [Q2 10-Q cash flow statement \(R7\)](#) · [Q2 earnings release, Ex-99.1](#) · [Q1 earnings release, Ex-99.1](#)

```
{"price_gates": [{"level": 5.45, "direction": "below", "basis": "-10% from 6.09 with no named mechanism: do not average down, re-court the deferred-tax and order-book questions"}, {"level": 7.85, "direction": "above", "basis": "~6x FY26 consolidated EBITDA on the guided cash cushion holding: trim half, discount largely closed"}, {"level": 4.75, "direction": "below", "basis": "market pricing the $1,236.0M deferred tax as a cash bill rather than loss absorption: exit, thesis premise gone"}], "event_gates": [{"forms": ["10-Q"], "why": "Q3 10-Q is decisive: 9/30 cash vs $700M, Ruckus net proceeds line (first ever filed), current taxes payable spike, repurchases executed"}, {"forms": ["8-K"], "why": "cash tax payment on the CCS/Ruckus gain >$200M, cash-guide change or withdrawal, buyback modification, or divestiture purchase-price adjustment / indemnity claim"}, {"forms": ["8-K", "EX-99.1"], "why": "Q3 earnings release: Aurora revenue, adj EBITDA vs $50M floor, margin vs 14.2% floor"}, {"forms": ["4", "144"], "why": "continuing insider disposition after the Aug 11/12/28 cluster would break the likely-mechanical (accelerated-vesting) explanation"}, {"forms": ["SC 13D", "SC 13G", "SC 13D/A"], "why": "cheap debt-free stub with a $250M authorization and 4-analyst coverage is activist-shaped; new large holders are information"}, {"forms": ["10-K"], "why": "customer concentration table – the only partial defense against the unnamed-counterparty exposure named in the pre-mortem"}], "catalyst_dates": [{"date": "2026-10-29", "what": "Q3 2026 earnings – vendor-derived date, NOT named in any company release; resolution date for orders, Aurora margin, and the cash guide", "confirmed": false}, {"date": "2026-11-05", "what": "approximate Q3 10-Q filing (~1 week after print) – first filed appearance of Ruckus net proceeds, 9/30 cash, and current taxes payable; the actual gate on sizing to 1.0%", "confirmed": false}, {"date": "2027-09-30", "what": "management-guided $160M tax refund in H2 2027 carrying cash toward $850-900M; makes the $250M authorization fundable across two years", "confirmed": false}], "immediate_entry": {"action": "BUY", "approx_price": 6.15, "size_pct_of_book": 0.5, "basis": "minimum starter – no bench objection survived at fatal level; debt-free stub at 3.5-4.2x consolidated EBITDA with a guided (not filed) cash cushion; sized to be wrong pending the deferred-tax character; confirm a live quote before placing, pack mark is stale"}}
```